GLOBAL TECH LAYOFFS

2020 – 2023: What Job Seekers Need to Know

A data-driven briefing for professionals navigating the job market in early 2023

380,439	USA ~67%	2023
Total Layoffs	**Dominant Country**	**Peak Year**
Across all industries	Of all global layoffs	Highest layoffs on record

Overview

Between 2020 and early 2023, the global technology sector saw one of its most turbulent periods in history. A total of 380,439 layoffs were recorded across 29 industries and 45 countries. What began as pandemic-driven uncertainty in 2020 culminated in an unprecedented wave of job cuts in 2022–2023 — largely driven by over-hiring during the pandemic boom, rising interest rates, and investor pressure to cut costs.

This report distills those trends into actionable intelligence for anyone currently job hunting or considering a career pivot in early 2023.

1. The Layoff Timeline: What the Years Tell Us

The data reveals a clear and dramatic arc across four years:

Year	Approximate Layoffs	Key Context
2020	~20,000	COVID-19 shocks the industry. Companies scramble to cut costs early in the pandemic.
2021	~5,000	The rebound. Stimulus spending and remote work boom drives massive tech hiring.
2022	~30,000	The correction begins. Rate hikes and inflation signal the party is over.
*2023**	~125,000+	The reckoning. Over-hiring reversal peaks; companies cut aggressively in Q1 alone.

**2023 data reflects early 2023 only, making its figures especially significant — the year was already on pace to far exceed all previous years combined.*

What this means for job seekers: The 2021 hiring frenzy is over. Companies that over-hired are now correcting aggressively. This is not a temporary blip — it is a structural reset of the industry.

2. Where the Cuts Are Deepest: Industries to Watch

Across 29 reported industries, layoffs are not evenly distributed. Five industries account for roughly 50% of all layoffs:

#	Industry	What it means for job seekers
1	Retail	E-commerce correction after pandemic surge. Competition for roles is high.
2	Consumer	Consumer spending pullback hits companies like Peloton, Snap, and Netflix hard.
3	Transportation	Logistics and ride-sharing over-expanded during the pandemic; now rightsizing.
4	Finance	Crypto winter and fintech correction drove major cuts at Coinbase, Stripe, and peers.
5	Healthcare	Telehealth companies that boomed in COVID are scaling back significantly.

Industries with comparatively fewer layoffs in the data — such as Aerospace, Energy, and Manufacturing — may represent more stable targets for job seekers willing to pivot.

3. Company Stage Risk: Are Startups More Dangerous?

The data on funding stage reveals a counterintuitive picture that every job seeker should understand before joining a company.

In terms of total layoff volume, Post-IPO companies dominate.

Post-IPO companies account for the largest raw number of layoffs — over 200,000 — far exceeding any other funding stage. This makes sense given that Post-IPO companies are typically the largest employers. Companies like Meta, Amazon, Google, and Twitter all fall in this category and have contributed massively to the 2022–2023 numbers.

But in terms of workforce percentage cut, early-stage startups are the riskiest.

Seed-stage companies cut the highest average percentage of their workforce — close to 60% on average. This means if you join a seed-stage startup and layoffs happen, you are far more likely to be among those let go. Series A and B companies also cut significantly larger percentages than later-stage or public companies.

Stage	Total Layoffs	Avg. % Workforce Cut
Seed	Low volume	~60% — Highest risk
Series A/B	Moderate	~40–50% — High risk
Series D+	Moderate	~20–30% — Medium risk
Post-IPO	Very High (200k+)	~15–20% — Lower % but large numbers
Acquired / Subsidiary	Moderate	~20–25% — Varies by parent company

4. Geography: The USA is the Epicenter

The United States accounts for approximately 67% of all recorded layoffs globally — despite being just one of 45 countries in the dataset. The remaining 33% is spread across 44 countries.

This concentration reflects several realities:

- The US houses the majority of the world's largest tech companies (FAANG and beyond).
- US labour laws make it easier and faster to conduct mass layoffs compared to Europe or Asia.
- The US tech ecosystem had the most aggressive pandemic-era hiring, and is now correcting the hardest.

For job seekers: If you are based in the US, you are operating in the most affected market in the world. This does not mean opportunity is gone — but it does mean competition for open roles is fiercer, and selectivity from employers is higher.

If you have the flexibility to consider remote roles with non-US companies, or to relocate to markets like Canada, Germany, or Singapore, those markets have seen comparatively fewer cuts and continue to have demand for tech talent.

5. What This Means for You: Practical Takeaways

If you were recently laid off:

- You are not alone — 380,000+ professionals are in the same market. Hiring managers know this and are not penalizing layoff victims.
- Target industries with lower layoff exposure: Aerospace, Energy, Manufacturing, and Infrastructure showed smaller numbers in the data.
- Consider company stage carefully. A post-IPO role may feel less exciting but offers meaningfully more job security in this environment.
- The USA market is saturated with talent right now. Consider broadening your search geographically or to remote-first companies outside the US.

If you are currently employed but nervous:

- If you are at a Seed or Series A company, your risk of large percentage cuts is highest. Begin quietly building your network now, before you need it.
- Consumer, Retail, Finance, and Transportation roles carry the highest current risk. If your role is in these sectors, diversify your skills toward adjacent areas that are more insulated.
- The 2023 trajectory is steep. Q1 2023 data suggests this wave has not peaked yet. Stay financially prepared.

If you are considering entering the tech industry:

- This is a correction, not a collapse. Tech remains one of the highest-paying and highest-demand fields globally.
- Target roles and companies in sectors with lower layoff rates — data infrastructure, cybersecurity, and enterprise software have been comparatively more resilient.
- Skills matter more than ever. Companies are cutting headcount but still hiring for specific, high-value skills. Specialization is your best defence.

Final Word

The data is sobering, but context matters. Every downturn in tech history has been followed by a period of growth. The companies and professionals who use this period to retool, upskill, and position themselves strategically will be the ones who emerge strongest when hiring resumes at scale.

Use the data. Know your market. Stay sharp.

Data sourced from public layoffs dataset (2020–Early 2023) via GitHub